

Finding Value in Common Stocks

by Todd Combs

Some nine decades after Graham and Dodd's *Security Analysis* was first published, many if not most of the principles it laid out still hold true. Certainly, the need to perform thorough analysis of potential investments and the importance of downside protection resonate as much with me now as when I read *Security Analysis* the first time many years ago. Given the authors were writing only a few years removed from the 1929 crash and in the middle of the Great Depression, their approach to investing was completely understandable. Investing, according to Graham and Dodd, could be considered a “negative art,” focused more on downside protection than on the pursuit of upside.

When done well, investing involves learning how to process information in order to determine when the odds are in your favor; the goal is to make educated bets based on facts and not stories. In investing, and in life for that matter, you can't choose outcomes, but you can choose the decisions that may get you the outcomes you want. With timeless wisdom like this, *Security Analysis* retains its relevance and, indeed, has been an invaluable pillar of my career.

Security Analysis was published during the latter stages of the industrial revolution, a time when the great businesses of the day were massively capital-intensive endeavors. Maintaining plant and equipment required significant capital spending, and growing a